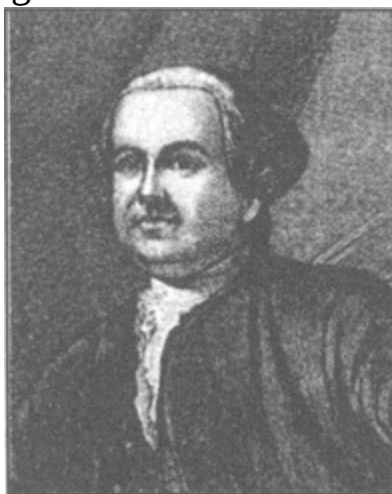


The commitment to monetary magic began in colonial times. Again, as so reliably in financial matters, those involved were persuaded of their own innovative genius; as before and as ever, they were reinventing the wheel.

The Southern colonies—Maryland, Virginia, and Carolina as it then was called—issued notes against the security of tobacco and greatly deplored any demand for gold or silver as a means of payment, on occasion proscribing their use. In Maryland, notes based on tobacco served as currency for nearly two centuries, longer by a considerable margin than the gold standard was to last. But it served prosaically as compared with the paper currency of New England.



Massachusetts' coffers were bare when Sir William Phips (above) and his markedly informal band of soldiers failed to capture the fortress and fortunes of Quebec.

In 1690, Sir William Phips led an expedition of markedly informal soldiers from the Massachusetts Bay Colony to the fortress of Quebec. It was intended that what they captured there would pay the costs of their foray. Alas, the fortress did not fall, and when the troops returned, there was no hard money, no gold or silver coin, in the colonial treasury to pay them. It then seemed a minor step for the colonial government to issue paper notes promising eventual payment in gold or silver; for two decades thereafter the paper circulated side by side and at par with the metals on the basis of this promise. Here a seemingly innovative and wonderful financial instrument and here again the special wonder of leverage. This was debt in the form of the paper notes backed by markedly fewer solid assets, meaning hard money, than were available should all the notes be presented at once for payment.